MGT 202 – SMALL BUSINESS MANAGEMENT

Chapter 2: INTEGRITY AND ETHICS

Foundations for Success in Small Business

How we make decisions shapes the trust, reputation and legacy of the businesses we build.

MS GN SETLHOKO

Learning Outcomes

- Explain the meaning of integrity and ethical behaviour in a small-business context.
- Discuss why integrity matters to customers, employees, suppliers, owners and communities.
- Analyse difficult ethical dilemmas using outcomes, principles and stakeholder considerations.
- Explain how pressure, opportunity and organisational culture can contribute to unethical behaviour.
- Apply an ethical decision-making process to a Botswana small-business case.
- Discuss how responsible entrepreneurship contributes to long-term sustainability and legacy.

Brief Recap: From the Entrepreneurial Life to Integrity

CLASS 1 RECAP

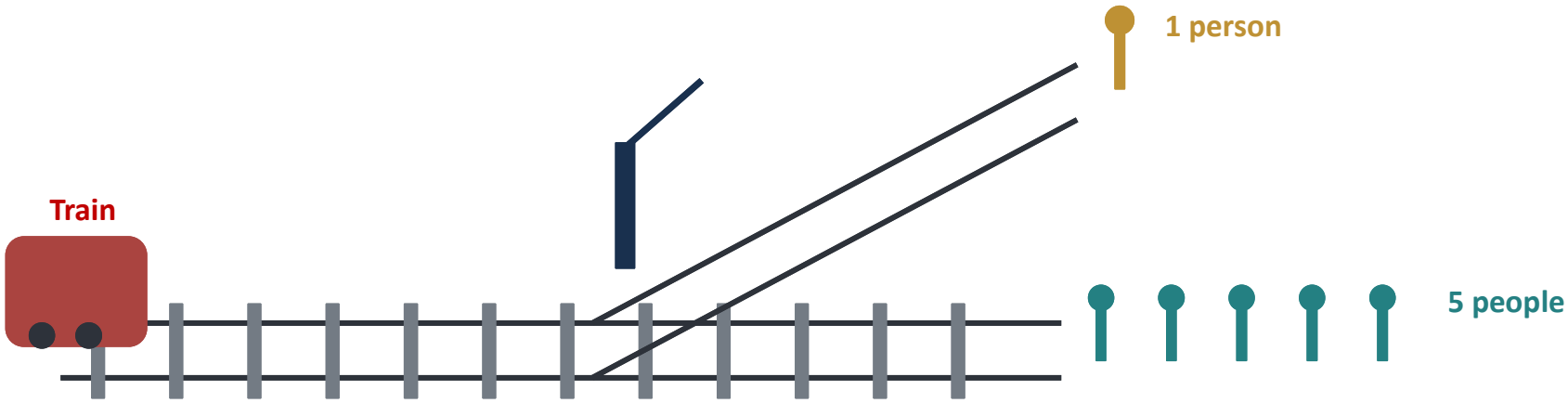
- Small businesses can create value, livelihoods, innovation and economic activity.
- A small business and an entrepreneurial opportunity are different concepts.
- Entrepreneurs pursue opportunities, create value and manage uncertainty.
- Small firms can compete through customer focus, quality, innovation, niche markets and integrity.
- Entrepreneurial success is also measured by the legacy left behind.

THE ETHICAL DILEMMA: THE TRAIN TRACKS

OPENING DISCUSSION

A runaway train is heading toward five people on the main track.

You are standing beside a lever. Pulling it will divert the train to another track where one person is standing.



YOU HOLD THE LEVER

What should you do and more importantly, why?

The P200 Change Dilemma

PERSONAL ETHICS ACTIVITY

- You pay for groceries and the cashier accidentally gives you P200 more change than you should receive.
- You notice the mistake.
- What do you do?

A. Keep it **B**. Return it immediately **C**. Wait and see if the cashier notices

Does your decision change if you know the cashier may have to cover the shortage personally?

What Is Integrity?

CORE CONCEPT

- Integrity involves honesty, reliability and consistency between values and behaviour.
- It includes doing what you say you will do and being truthful in dealings with others.
- Integrity is tested when the right decision is difficult, inconvenient or costly.
- The key question is not only: **'Will I be caught**?' but also: **'Is this the right thing to do**?'

Who Are You When Nobody Is Watching?

INTEGRITY UNDER PRESSURE

- Ethical behaviour is often tested when there is no immediate supervision.
- Pressure may be high.
- Personal gain may be possible.
- Others may appear to be doing the same thing.
- You may believe that you can get away with it.

The Honesty Experiment

CLASS THOUGHT EXPERIMENT

- ❑ Imagine that you flip a coin four times while alone.
- ❑ Every favourable result earns you a hypothetical cash reward.
- ❑ You report the results yourself and nobody can verify them.
- ❑ Would your answer change if the reward increased substantially?
- ❑ What does this suggest about **incentives**, **opportunity** and **personal values**?

Ethical Decisions Are Not Always Easy

TWO WAYS OF THINKING

- Some decisions involve competing interests rather than an obvious choice between good and bad.



- One option may produce benefits for many people but harm a smaller group.
- Another option may protect an important principle but produce difficult consequences.
- Ethical reasoning requires us to examine both consequences and principles.

Dilemma 1: The Small Factory

CLASS DISCUSSION

- A small factory is facing severe financial difficulty.
- If nothing changes, all 20 employees may lose their jobs.
- Management is considering retrenching 5 employees to keep the business alive and preserve 15 jobs.
- Is this the right decision?
- What alternatives should management investigate before making the decision?

Dilemma 2: The Supplier

BOTSWANA SME APPLICATION

- A larger business owes a small local supplier P500,000.
- Immediate payment could create serious cash-flow pressure for the larger business.
- Management considers delaying payment for six months without informing the supplier.
- The supplier depends on the money and may itself face financial collapse.
- Who should carry the cost of the larger company's survival?

Dilemma 3: Customer Data

DIGITAL ETHICS

- A struggling company can sell customer information for a significant amount of money.
- The income could help save the business and protect jobs.
- However, customers did not give permission for their information to be sold.

1. **Does a good business outcome justify using information without consent?**
2. **What would happen to trust if customers later discovered the decision?**

Two Lenses for Ethical Reasoning

DECISION FRAMEWORK

1. **OUTCOMES:** Which decision is likely to produce the greatest overall benefit or least harm?
2. **PRINCIPLES AND RIGHTS**: Are there actions that should not be taken because they violate honesty, fairness, consent or other important principles?

Strong ethical analysis often considers both lenses.

The entrepreneur must be able to explain not only what decision was made, but why.

Why Do Good People Sometimes Make Bad Decisions?

UNDERSTANDING UNETHICAL BEHAVIOUR

Unethical behaviour is often the result of a combination of **pressures, opportunities** and rationalisations.
It's not always about bad people — it's about the **situation.**



Same situation. Different pressures. Same risk — unethical action.

The key question is not just "Can I get away with it?" but "What kind of person do I want to be?"

When the Pressure to Perform Becomes the Problem

ETHICS AND INCENTIVES

A manager tells employees: 'Anyone who fails to reach P500,000 in sales this month will lose their commission.'

- An employee begins recording sales that have not yet been confirmed.
- Who is responsible?
- The employee who falsified the information?
- The manager who created the pressure?
- The business owner who designed the system?

PRESSURE
Need to perform

OPPORTUNITY
Weak controls

JUSTIFICATION
'Only this once'

ACTION
Ethical line crossed

Integrity in Everyday Small-Business Decisions

FROM THEORY TO PRACTICE

- Accurate financial and sales records.
- Honest product descriptions and advertising.
- Fair treatment of employees and suppliers.
- Keeping promises made to customers.
- Handling mistakes openly rather than hiding them.
- Applying the same standards even when the business is under pressure.

The Cash Sale Test

PRACTICAL SME SCENARIO

- A small business receives a cash payment of P10,000.
- The owner records only P6,000 and keeps P4,000 outside the business records.
- The short-term benefit is more cash under the owner's control.
- But what are the longer-term consequences?
- Consider decision quality, trust, internal controls and compliance.

Employees Watch What Leaders Do

LEADERSHIP AND CULTURE

- Leaders influence culture through behaviour, not speeches alone.
- Employees observe what leaders reward.
- They notice what leaders tolerate.
- They learn from what leaders ignore.
- Ethical culture becomes stronger when standards are applied consistently.



One Unethical Decision Can Create a Chain Reaction

CONSEQUENCES

- Inaccurate information
- Wrong management decisions
- Loss of trust
- Customers or other stakeholders are affected
- Reputation is damaged
- The business eventually pays a price

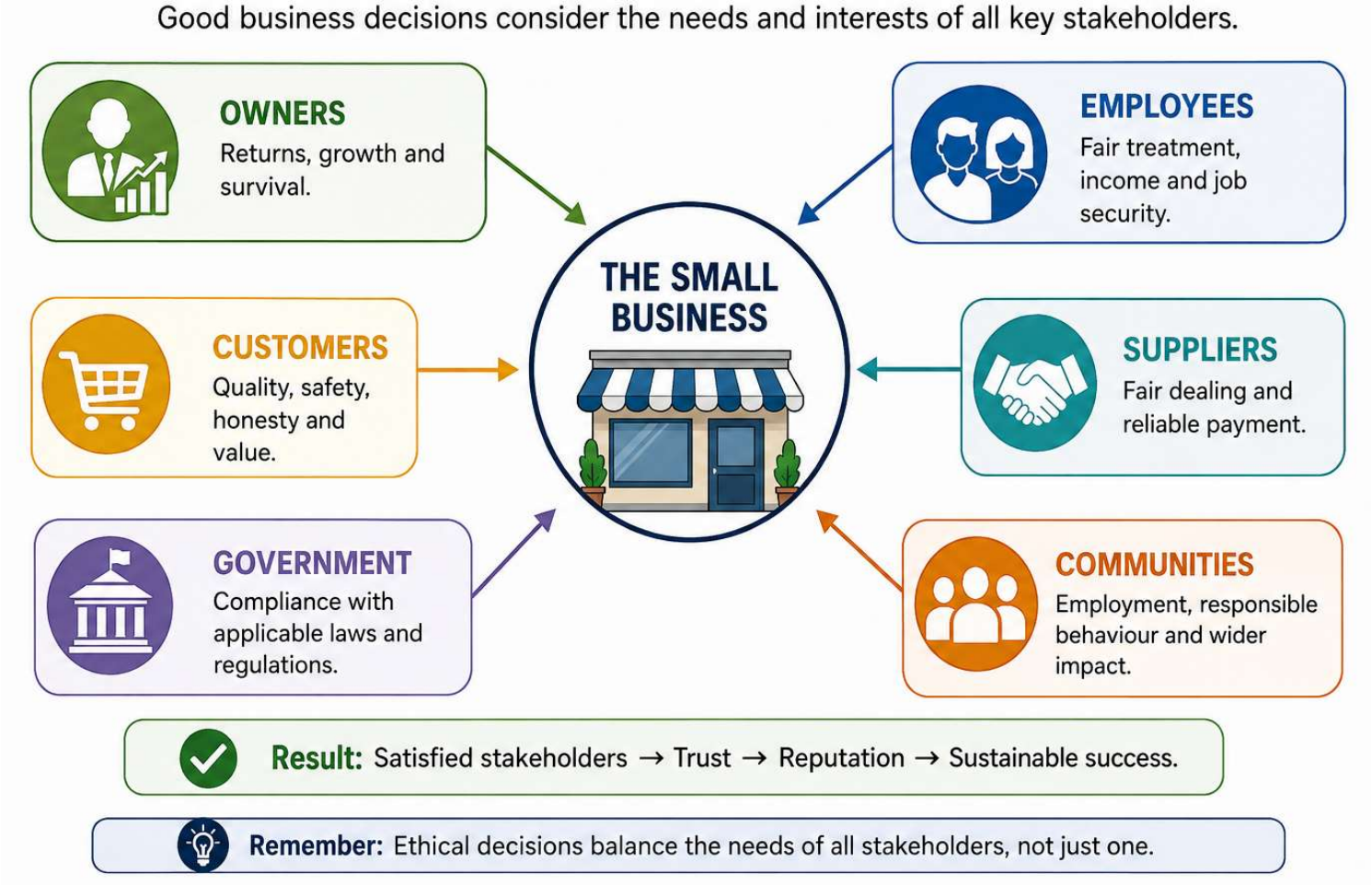
In a Small Market, Reputation Matters

BOTSWANA CONTEXT

- Customers share experiences with friends, family and colleagues.
- Word of mouth can strengthen or weaken a business.
- WhatsApp and social media can spread positive and negative experiences quickly.
- Trust can take years to build and can be damaged by a serious ethical failure.
- For a small business, reputation can be an important intangible asset.

Who Are the Stakeholders?

STAKEHOLDER PERSPECTIVE



Stakeholder Interests Can Conflict

THERE ARE OFTEN TRADE-OFFS

- Lower prices may benefit customers but reduce profits.
- Higher wages may benefit employees but increase costs.
- Rapid growth may create jobs but place pressure on quality and systems.
- Delaying supplier payments may help one business but harm another.
- Ethical management requires recognising and managing these tensions.

Four Responsibilities of Business

BUSINESS RESPONSIBILITY

1. ECONOMIC

The business must create enough value to remain viable.

2. LEGAL

The business should comply with applicable laws and regulations.

3. ETHICAL

The business should avoid dishonest, unfair or harmful practices.

4. DISCRETIONARY / SOCIAL

The business may voluntarily contribute to society and communities.

Doing good elsewhere does not excuse unethical behaviour in the core business.

Integrity in the Digital Marketplace

MODERN ETHICAL CHALLENGES

- Are customer details collected and used responsibly?
- Are online reviews genuine?
- Are product claims accurate?
- Are promotional images and descriptions misleading?
- Is the business using another person's content, ideas or work fairly?

The Integrity Advantage

TRUST AS AN ASSET



- Integrity can strengthen trust.
- Trust can support repeat business and stronger relationships.
- Strong relationships can support loyalty.
- Loyalty and consistent behaviour can strengthen reputation.
- Reputation can support long-term sustainability.
- Ethics therefore has both a moral dimension and a business dimension.

Building an Ethical Small Business

PRACTICAL ACTIONS

- Set clear expectations about acceptable behaviour.
- Lead by example.
- Create an environment where concerns can be raised.
- Apply standards consistently.
- Examine incentives that may encourage shortcuts.
- Learn from mistakes and improve systems.

What Are Your Non-Negotiable Values?

PERSONAL REFLECTION

- What would you refuse to do even if you knew you would not be caught?
- Steal from a customer?
- Falsify financial records?
- Sell an unsafe product?
- Mislead an investor?
- Exploit an employee?

A Six-Step Ethical Decision-Making Process

DECISION-MAKING TOOL

6

1. Define the ethical problem clearly.
2. Identify realistic alternatives.
3. Evaluate consequences and stakeholder effects.
4. Consider principles, fairness and rights.
5. Make and implement the decision.
6. Review the outcome and learn.

A Quick Ethical Test

BEFORE YOU ACT

- Is it truthful?
- Is it fair to the people affected?
- Would I be comfortable explaining the decision publicly?
- Will it strengthen or damage important relationships?
- Have I considered alternatives that could reduce harm?

Group Case: Kgosi's Catering Business

APPLY THE CONCEPTS

- Kgosi's Catering has an opportunity to secure a major corporate contract.
- The client asks the business to change the date on an invoice so that the client can use its remaining annual budget.
- The contract represents a significant share of the small business's expected revenue.
- The client suggests that refusing may affect future business.
- What should Kgosi do?

Group Activity: Analyse the Case

10–15 MINUTE GROUP ACTIVITY

1. What exactly is the ethical problem?
2. Who are the key stakeholders?
3. What alternatives are available?
4. What are the likely short- and long-term consequences?
5. Apply the ethical test.
6. What should Kgosi do, and how would you justify the decision?

Beyond Avoiding Harm: Social Entrepreneurship

RESPONSIBLE ENTREPRENEURSHIP

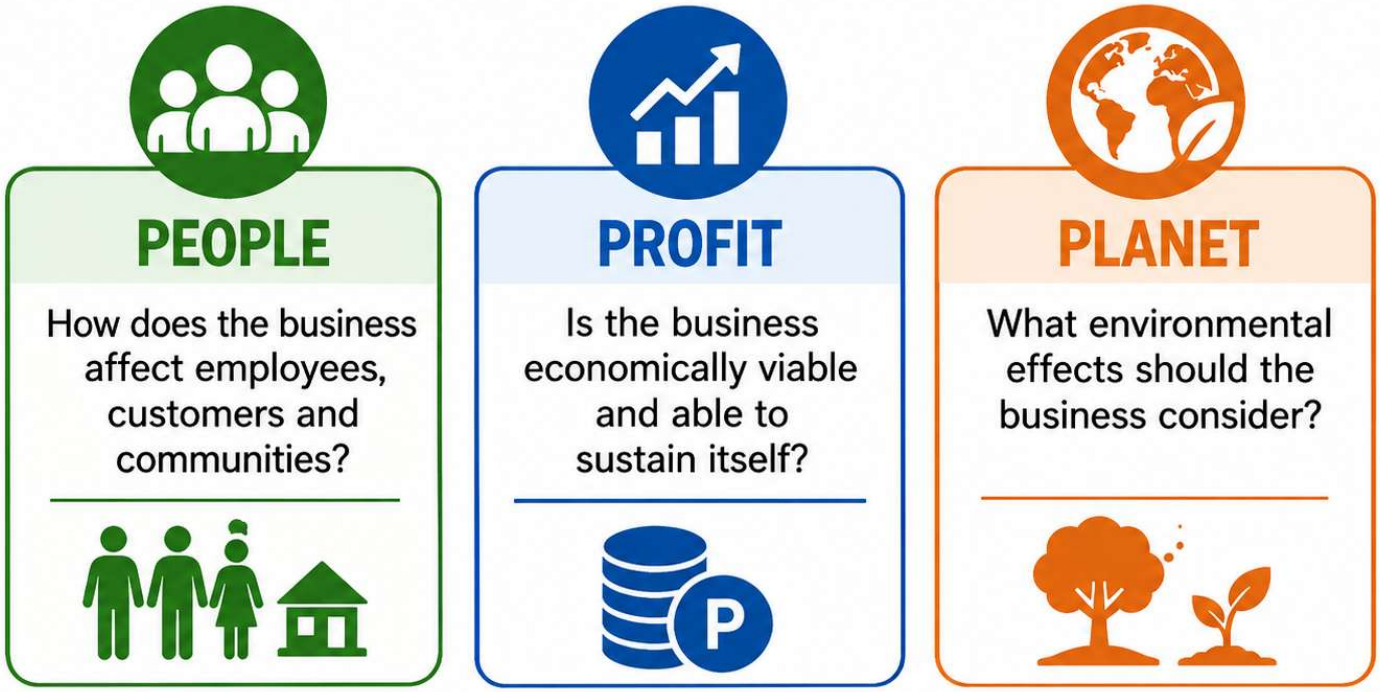


- Entrepreneurship can intentionally address social or environmental challenges.
- A social entrepreneur combines opportunity recognition with a wider purpose.
- The challenge is to create value while building a model that can remain viable.
- Possible areas include employment, agriculture, waste, water, energy and inclusion.

People • Profit • Planet

TRIPLE BOTTOM LINE

Successful and responsible businesses create value in three connected areas.



Responsible entrepreneurship requires awareness of more than one type of value.

Class Challenge: Identify a Responsible Business Opportunity in Botswana

5-MINUTE APPLICATION

- Choose ONE problem or unmet need.
- Who experiences the problem?
- What solution could a business provide?
- What value would the customer receive?
- What social or environmental benefit could result?
- How could the business generate enough revenue to remain viable?

Class 2 Recap: Key Ideas

WHAT TO REMEMBER

- Integrity means consistency between values and behaviour, especially under pressure.
- Ethical decisions can involve difficult trade-offs and competing stakeholder interests.
- Pressure, opportunity, incentives and justification can increase the risk of unethical behaviour.
- Leaders shape ethical culture through their actions and systems.
- Trust and reputation can be valuable assets for small businesses.
- Structured ethical decision-making can improve the quality of difficult business decisions.

Exit Reflection

BEFORE YOU LEAVE

1. In one sentence, define integrity in your own words.
2. Name one business pressure that could encourage unethical behaviour.
3. What is one question you should ask before making a difficult business decision?
4. What is one value you consider non-negotiable?
5. What idea from today's class changed or challenged your thinking?

Looking Ahead

CLOSING

- Integrity is not a separate activity from business.
- It influences decisions about customers, employees, suppliers, finance and growth.
- The entrepreneur's choices eventually contribute to reputation and legacy.
- **Next:** continue building the connection between responsible decision-making and long-term small-business success.

Sources and Teaching Basis

TEACHING BASIS

University of Botswana – MGT 202 Small Business Management Course Outline.

Longenecker, J. G., Petty, J. W., Palich, L. E. & Hoy, F. **Small Business Management: Launching & Growing Entrepreneurial Ventures**, 18th edition.

Chapter 2 concepts are presented through Botswana-based classroom applications and discussion cases.

The **ethical dilemmas and activities** are used as teaching tools to develop analysis, discussion and decision-making.